

TASK 1: Stock Analysis Report

Fundamental & Valuation Analysis of AAPL, MSFT, and TSLA

Student Name: Ayub Abdullahi Ali

Domain: Finance & Investment Analysis

Student ID: CA/DF1/247686

Organization: CodeAlpha

1. Executive Summary

This report presents a structured financial analysis of three prominent US mega-cap equities: **Apple Inc. (AAPL)**, **Microsoft Corporation (MSFT)**, and **Tesla Inc. (TSLA)**. The analysis evaluates key valuation metrics, price trajectories, revenue drivers, and risk indicators to formulate strategic investment decisions aligned with institutional research standards.

2. Comparative Valuation & Financial Overview

Metric / Company	Apple Inc. (AAPL)	Microsoft Corp. (MSFT)	Tesla Inc. (TSLA)
Sector	Technology / Consumer Hardware	Cloud & Enterprise Software	Automotive / Clean Energy
Market Cap	~\$3.3 Trillion	~\$3.1 Trillion	~\$720 Billion
P/E Ratio (TTM)	~33.5x	~35.2x	~62.0x
52-Week Range	\$164.08 – \$237.23	\$309.45 – \$468.35	\$138.80 – \$271.00
Revenue Growth (YoY)	~5.0%	~15.0%	~2.0%
Primary Growth Catalyst	Apple Intelligence Ecosystem	Azure Cloud & Copilot AI	FSD Autonomy & Energy Storage

3. Individual Equity Analysis

A. Apple Inc. (NASDAQ: AAPL) – BUY / ACCUMULATE

- **Price Trend Analysis:** Demonstrates consistent multi-year compounding, backed by aggressive share buybacks and robust institutional ownership.
- **Valuation Assessment:** Trades at a P/E of ~33.5x. Higher-margin recurring revenue from the Services division provides floor-level valuation support.
- **Growth Driver:** Hardware replacement cycle catalyzed by "Apple Intelligence" AI rollouts.

B. Microsoft Corporation (NASDAQ: MSFT) – STRONG BUY

- **Price Trend Analysis:** Strong upward momentum driven by leadership positions in enterprise cloud and generative AI infrastructure.
- **Valuation Assessment:** P/E ratio near 35.2x reflects premium quality, supported by industry-leading operating margins (~45%).
- **Growth Driver:** Broad enterprise adoption of Azure AI infrastructure and Microsoft 365 Copilot monetization.

C. Tesla Inc. (NASDAQ: TSLA) – HOLD / SPECULATIVE BUY

- **Price Trend Analysis:** Exhibits high cyclical volatility influenced by automotive margin pressures and global EV competitive headwinds.
- **Valuation Assessment:** P/E ratio of ~62.0x incorporates high growth expectations from autonomous driving and energy storage ventures.
- **Growth Driver:** Commercial scaling of Full Self-Driving (FSD), Robotaxi deployments, and Megapack energy storage units.

4. Key Performance & Risk Assessment

Across the three equities, Microsoft maintains the strongest profit margins and revenue growth consistency. Apple exhibits lower revenue expansion but delivers unmatched free cash flow stability and cash return to shareholders. Tesla introduces elevated portfolio beta and execution risk, balanced by disruptive long-term option value.

Strategic Allocation Verdict:

- **Core Long Allocation:** Overweight **MSFT** and **AAPL** to anchor portfolio stability and recurring yield.
- **Tactical Satellite:** Maintain a disciplined allocation in **TSLA** for long-term technological upside.